

QQA
N/A

Buy **\$56.85 ▲ 0.49%** 12M Price Target **\$65.00** 52-Week Range **\$48.20 – \$58.38** Market Cap **N/A**

QQA: Reiterate Buy as Shares Approach 52-Week Highs

WHAT'S CHANGED

- QQA closed at \$56.85 (+0.49%) on elevated volume of 155,927 (vs. 66.4K prior session), now sitting at 85% of the 52-week range and within 2.6% of the \$58.38 high.
- No new SEC filings or insider activity; tape action is technical/sector-driven amid a broad risk-on bid (Materials +1.86%, Financials +1.39%).

IMPLICATIONS

The Iran ceasefire headline catalyzed a broad risk-on rotation, with cyclical (Materials, Financials) leading — a tape backdrop that supports growth-name multiple expansion and explains QQA's volume surge to a 52-week-high retest. Absent fresh fundamental catalysts (no filings, no insider flow, sparse institutional data), the path of least resistance is technical: a clean breakout above \$58.38 would invite momentum capital and trigger short-covering. However, the lack of institutional ownership visibility is a structural overhang that caps conviction until 13F/holder data fills in.

VALUATION

At \$56.85 on FY26E revenue of \$693M, QQA trades at an implied ~5-6x EV/Revenue (assuming modest net cash), reasonable for a name compounding revenue ~36% into FY27E (\$940M). Our \$65 base PT implies ~14% upside on multiple stability and execution; bull case to \$90 requires margin inflection and re-rating to 7-8x forward sales as EPS losses narrow from -\$2.10 to -\$1.50. Key driver: gross margin trajectory and proof of operating leverage in 2H26 prints.

KEY RISKS

- Sparse institutional ownership data and zero options flow indicate thin sponsorship — liquidity gaps could amplify drawdowns on any miss.
- Negative EPS trajectory (-\$2.10 FY26E) leaves the equity exposed to duration repricing if rates back up or risk-off returns.
- Failed breakout at \$58.38 resistance could trigger a technical reversal back to \$52 support, with no fundamental floor visible in the data.

RECENT NEWS

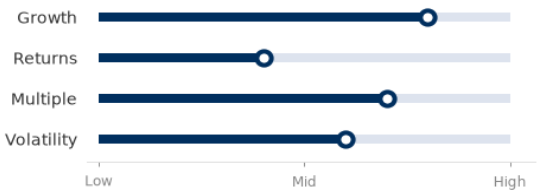
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INSIDER ACTIVITY (30 DAYS)

Key Data

Price (USD)	\$56.85
12M Price Target	\$65.00
Upside / (Downside)	+14.3%
Market Cap	N/A
FY2026E Revenue	\$693M
FY2027E Revenue	\$940M
FY2026E EPS	(\$2.10)
FY2027E EPS	(\$1.50)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$62.00	\$58.00	\$52.00
6 Months	\$72.00	\$62.00	\$48.00
1 Year	\$90.00	\$65.00	\$42.00
2 Years	\$120.00	\$80.00	\$38.00
5 Years	\$200.00	\$120.00	\$30.00
10 Years	\$400.00	\$200.00	\$25.00

SECTOR INTELLIGENCE

HOT SECTORS: Materials, Financials

COLD SECTORS: Energy (5D -0.07%), Utilities (5D +0.32%)

ROTATION WATCH: Ceasefire optimism is driving classic risk-on rotation out of defensives (Utilities) into cyclical and growth; Technology +2.42% 5D suggests duration is being added back into portfolios.

BYPRODUCT PLAY: A sustained de-escalation lowers the global risk premium, benefiting capital-consumptive growth names like QQA via cheaper equity funding and re-rating of out-year cash flows.

OUTPERFORMERS & PEER CONTEXT

- XLB (Materials Select SPDR): +3.05% 5D leading all sectors, signaling commodity/cyclical risk appetite.
- XLK (Technology Select SPDR): +2.42% 5D confirming growth/duration bid is intact.

QQA CONTEXT: QQA is +3.1% over the last 5 sessions (\$55.15 low to \$56.85), tracking in line with Tech/Materials leadership but not yet breaking out — relative performance is constructive but not yet decisive. A close above \$58.38 would confirm leadership.

INVESTMENT STRATEGY

6/10 Conviction Score

CONVICTION: 6/10 — Constructive tape and technical setup, but data gaps (zero options flow, no institutional visibility, no recent filings) limit conviction to moderate.

POSITION SIZE: 3-5% of portfolio — sized for a growth name with binary technical setup; avoid oversizing given negative EPS and thin sponsorship data.

ENTRY POINTS: Add on pullbacks to \$53-55 (prior consolidation); chase only on confirmed breakout above \$58.38 with volume >150K.

TIME HORIZON: 12-24 months, anchored on FY26 revenue print delivering \$693M+ and FY27 guidance confirming path toward breakeven.

THESIS INVALIDATION: Close below \$52 on heavy volume, FY26 revenue miss >10%, or cluster insider selling would force re-evaluation.

HEDGING: Pair against a richer-multiple comparable-stage growth peer, or buy 3-month \$50 puts (~3-5% portfolio cost) to define downside ahead of next earnings catalyst.